

Measure rule, targets. Use the measure rule for pipes to find a price target. Compute the formation height by subtracting the lowest low from the highest high in the pipe. Subtract the result from the breakout price (the lowest low) to get a target.

How often does this work? The bottom portion of the table provides the answer. Using the full height, it works about half the time on average. If you cut the height of the pipe in half and use that in the formula, you'll get a higher success rate: 80% or higher.

Once you know your target, convert the move into a percentage of the current price by dividing the two and checking [Table 50.3](#). For example, say the distance to the target is \$5 in a stock with a breakout price of \$50. That's a 10% move. [Table 50.3](#) says that in bull markets, 33% of pipe tops will fail to see price drop more than 10%. That means if you were to trade it perfectly and often enough, you'd make money 67% of the time.

Downward trend. The performance of pipes depends on the prevailing price trend. For larger percentage moves, look for pipes that appear as an upward retrace near the start of a decline. Avoid trading those if the decline has been in existence for many months (like almost a year).